ESG CONSIDERATIONS IN PORTFOLIO PLANNING AND CONSTRUCTION

Learning Outcome

- describe how environmental, social, and governance (ESG) considerations may be integrated into portfolio planning and construction

The implementation of a policy on responsible investing affects both strategic asset allocation and implementation of the portfolio construction process. The ESG investment approaches described previously require a set of instructions for investment managers with regard to the selection of securities, the exercise of shareholder rights, and the selection of investment strategies. Examples of issues driving the integration of environmental and social factors in the investment process include scarcity of natural resources, physical impacts of climate change, global economic and demographic trends, diversity and inclusion, and the rise of social media. ESG investment approaches can be implemented with structured, numeric data for many of these issues (e.g., executive salaries and bonuses, carbon footprint, employee turnover, lost time injuries and fatalities, and employee absenteeism). Although companies often are not required to disclose such data, that is changing as many stock exchanges and other regulatory bodies across developed and emerging markets have set up guidelines related to corporate sustainability disclosures for listed companies. In addition, many organizations and regulatory bodies have derived frameworks setting out standards on a number of these issues—examples include the Principles of Responsible Investment, the UN Global Compact, and the OECD Guidelines for Multinational Enterprises. These standards help form the basis of responsible investing policies for asset owners. In turn, asset owners may exclude or engage with companies in accordance with these issues, or demand from their selected investment managers consider these issues in their investment process.

We previously discussed that the limitation in the investment universe from using negative screening policies affects the expected returns and risk. When selecting or instructing active or passive managers, these managers will clearly prefer to see their performance measured against a benchmark that reflects the limited universe. There are benchmarks and investment vehicles (both active and passive) available, particularly in equities, that reflect many commonly excluded companies or sectors. It is also worth noting that with the proliferation of the ESG integration approach, more and more asset owners expect their asset managers to beat the regular benchmarks, because integration of ESG factors into traditional financial analysis and portfolio construction is viewed more as a process enhancement rather than an entirely new way to invest.

EXAMPLE 12

ESG Factors Directly Impacting Portfolio Construction

Based in South Africa, Mountain Materials (Mountain) is a fictitious cement manufacturing company that ranks as one of the largest cement and concrete manufacturers in the world. Mountain operates mostly in South Africa, where environmental regulations have been gradually strengthening since 2015. Because of the large scale of its operations, Mountain is a significant emitter of greenhouse gases (GHGs). During 2019, by setting a carbon price on the country's largest GHG emitters, South Africa launched a new, crucial endeavor in its efforts to tackle air pollution and climate change. Despite having some ad hoc initiatives to manage its carbon emissions, the company lacks firmwide programs to limit energy use or

performance in managing toxic air emissions as well as employee health and safety falls short of industry best practices, leaving Mountain exposed to related risks.

Ved Disha, CFA, is analyzing the effects of the environmental and social factors on Mountain's financial statements. Exhibit 15 illustrates Disha's expected internal rate of return (IRR) in the base, bear, and bull case scenarios for Mountain based on his fundamental analysis, and Exhibit 16 illustrates the same scenarios following the integration of these material environmental and social risks.

Exhibit 15: Pre-ESG Integration: Bear/Base/Bull Case Scenario

	Bear Case	Base Case	Bull Case
Revenue growth	0.0%	10.0%	15.0%
Margin improvement	–5.0%	3.0%	5.0%
Cash dividend	1.0%	2.0%	2.0%
Multiple expansion	–10.0%	0.0%	5.0%
IRR	–14.0%	15.0%	27.0%

Exhibit 16: Post-ESG Integration: Bear/Base/Bull Case Scenario

	Bear Case	Base Case	Bull Case
Revenue growth	–5.0%	10.0%	20.0%
Margin improvement	–10.0%	–3.0%	0.0%
Cash dividend	0.0%	0.0%	2.0%
Multiple expansion	–5.0%	–2.0%	0.0%
IRR	–20.0%	5.0%	22.0%

Disha assumed that compliance with national and provincial carbon regulations would require the company to increase spending on equipment, resulting in a 1% erosion in operating margin. Moreover, to limit toxic emissions, the company would have to switch to relatively cleaner sources of energy such as gas-based powered plants. This change is expected to further dampen operating margin by 2% because of increased fuel costs. As a result of higher spending, it was assumed that the previously stable cash dividend policy would turn conservative in the short term, and hence Disha reduced the expected dividend from 2% to 0% for the base case. Lastly, there is a downside to multiples as a result of the concerns related to management of health and safety risks, because the company's performance is below that of its peers and capital markets tend to discount the share price in the event of safety incidents. Based on all of these changes, the base case IRR for the cement company case became less attractive. This outlook led Disha to undertake a relatively smaller position of 0.5% (versus 1.5% in the absence of ESG risks) in his portfolio because of the various unmanaged ESG risks at Mountain. Disha also decided to engage with company management to influence better disclosures and management of these environmental and social risks. In this manner, key ESG risks and growth opportunities were integrated with traditional financial analysis to help arrive at a more robust investment decision.

In this example, a high level of unmanaged ESG risks led to a significant change in expected IRR following the ESG integration and hence impacted the position size significantly. It is prudent to note, however, that ESG is one of the many factors that influence investment decision making. Therefore, in many cases, ESG risk and opportunities may have limited effect on a company's financial attractiveness and

Shareholder engagement requires good cooperation between investor (client) and investment manager. Engagement efforts are time-consuming, and the interest in such efforts is often that of the clients rather than that of the investment managers. Clients and investment managers must be clear with each other about the exercise of voting rights, filing of shareholder proposals, or entering into conversations with company management. It may be that the engagement and voting is delegated by the client to the investment manager and implemented according to the manager's stewardship policy. Alternatively, the client may instruct some proxy agent to vote on its behalf and according to its own stewardship policies, or the client may instruct voting and maintain dialogue with its investee companies through either individual engagements or collaborative engagements. Collaborative engagement initiatives have gained popularity because it is easier to gain the attention of and encourage positive action from corporations on material ESG issues through collective action. Climate Action 100+ is one such initiative that aims to ensure the world's largest corporate GHG emitters take necessary action on climate change. The initiative aims to engage with more than 100 systemically important carbon emitters, accounting for two-thirds of annual global industrial emissions, alongside more than 60 other companies with significant opportunity to drive the clean energy transition.

Selecting thematic investments, particularly in liquid asset classes, requires finding specialist managers who can identify the right opportunities and manage thematic investment portfolios. In particular, an allocation to thematic investments will bias the total asset class portfolio toward a particular theme, so it is important for the investment manager to demonstrate the impact of the thematic investment on the total risk–return profile of the portfolio. Impact investing specifically selects investment opportunities based on their intention to create a positive environmental and social impact.

The effort and costs associated with limiting the investment universe as part of responsible investing may suggest a negative impact on investment returns. Responsible investing proponents argue, however, that potential improvements in governance, as well as the avoidance of material risks by companies that screen, favorably improve returns. Significant empirical research has been conducted on the performance of ESG factors in equities, including the return differences of ESG equity portfolios relative to mainstream equity portfolios. Academic research remains mixed on the impact of ESG factors on portfolio returns. Nevertheless, ESG investing continues to see strong adoption, with nearly US$31 trillion of AUM dedicated toward responsible investment mandates at the start of 2018. The ESG integration approach that integrates material qualitative and quantitative environmental, social, and governance factors into traditional security and industry analysis as well as portfolio construction is now widely adopted across mainstream funds and not just limited to client-specific separate accounts.

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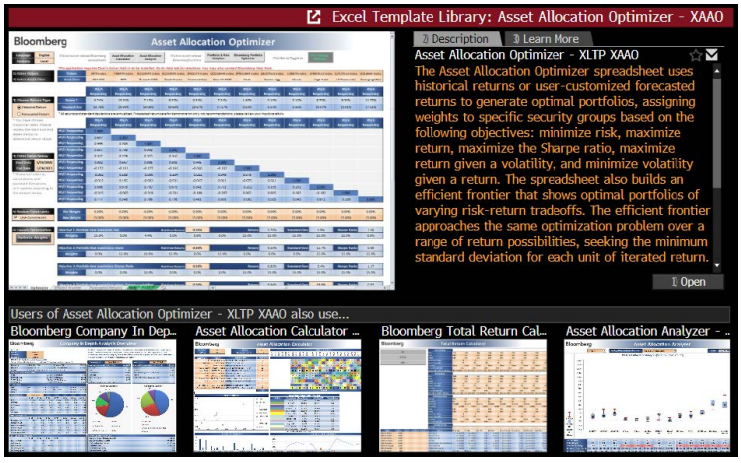

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